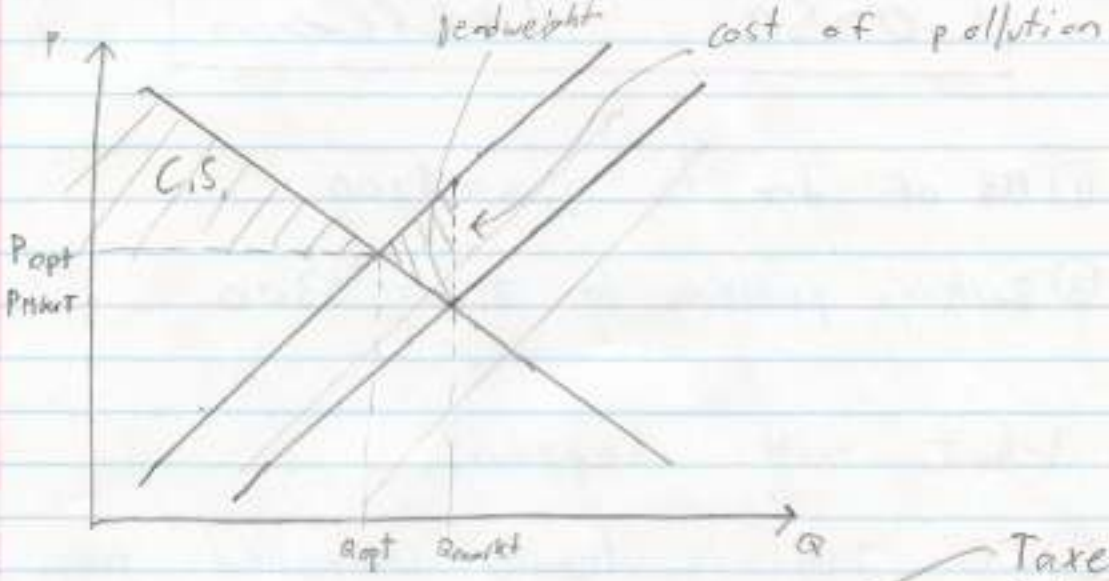
Chapter 10 Externalities

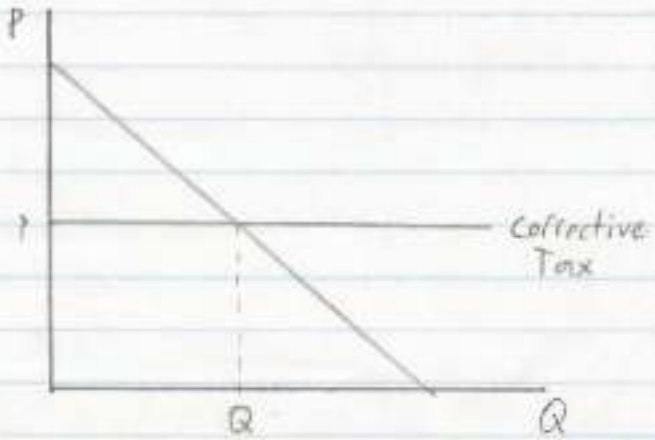


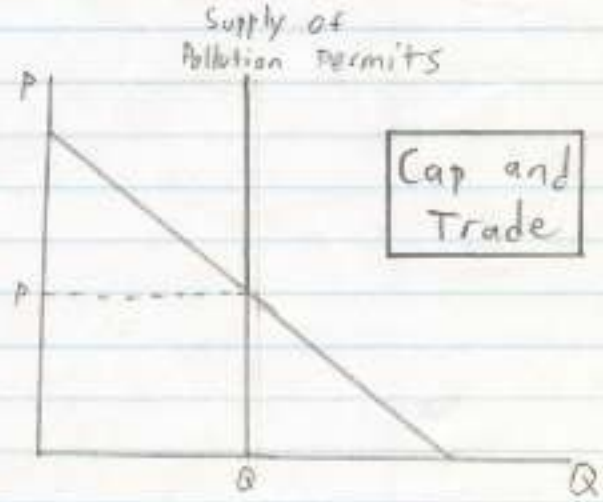
Taxes (Neg)
Subsidies (Pos)

Internalizing the Externality: creating incentives within the market so people take it upon themselves to address the externality. opposed to direct Regulation.

Command and Control: Regulation

Market-Based: Corrective (Pigovian Taxes)





Cap and Trade

Sets Price of pollution

Sets Quantity of Pollution

Coase Thereom

① MB of dog to jim = $200

② Barking problem to Jill = $300

What will happen?

① If Jim is legally compelled to make his dog stop barking vs. if he isnt

* Transaction costs (costs during the bargaining process) sometimes get so big the problem isn't resolved

Chapter 11

If one person uses it can someone else then not use it?

Rival in Consumption

Excludable	Yes	No
Yes	**Private Goods** - Ice-cream cones - Clothing - Congested toll roads	**Club Goods** - Fire Protection - Cable TV - Uncongested toll roads
No	**Common Resources** - Fish in the Ocean - The Environment - Congested non-toll roads	**Public Goods** * will not arise in a private market - Tornado siren - National Defense - Uncongested non-toll roads - Firework display

Can someone be stopped from using it?

Free Rider: *problem
Someone who enjoys the MB of something but does not pay for it

*Common Resources are a problem because anyone can use them but it is possible to use it all up and then everyone loses

Chapter 19 Intro to Macro

Recession: A fall in GDP
- long term growth
- short-Term Fluctuations

nominal national income: total income in current dollars

Real National Income: Total income in constant $'s. only changes when quantity changes

Y = Actual Output

Y* = Potential Output = If all Resources is put to use

$Y < Y^*$ = recessionary Gap

$Y > Y^*$ = Inflationary Gap

*note, this can still happen

Employment = Number of adults with jobs

Labour Force: Total # of people employed or unemployed

Unemployment = # of adults who are unemployed and are looking for work

Unemployment rate:

$$\frac{\text{\# of people unemployed}}{\text{\# of people in Labour force}} \times 100\%$$

Frictional unemployment: Standard turnover of people between jobs but are not currently working

YES

Structural Unemployment: Labour force skill set ≠ Skills in demand for jobs

Cyclical Unemployment: Actual GDP ≠ Potential GDP

NO!

Full Employment?

Price Level: "P"

↑P = Inflation

* Inflation reduces purchasing power of money and the real value of money

Nominal interest rate:
Standard interest

Real interest rate:
adjusts to take into consideration the change in buying power of money

Consumer Price Index / CPI:
choosing a base year and than seeing how much the same goods cost at a later date and measuring the % increase in price

↑ Exchange Rate = **Depreciation**
∴ It now takes more Canadian dollars to buy a Euro

↓ Exchange Rate = **Appreciation**
∴ It now takes less Canadian dollars to buy a Euro

Chapter 20 National Income

Intermediate Goods:
not the finished product.
ie: flour which will become bread

Final goods:
Final product, goods that will be consumed by consumers

Value added:
solution to the double counting problem

National income = National product

Value Added = Sales Revenue − Cost of intermediate Goods

GDP on the Expenditure side

① **Consumption Expenditure:**
both durable and non-durable goods, Goods or services which will eventually be consumed. (C_a)

② **Investment Expenditure:**
goods not presently ready for consumption. ie: warehouse metal, machines, factories. (I_a)

③ **Government Purchases:**
Govt. spending on stuff ie: roads, firehouses, soldiers, etc.... (G_a)

④ **Net Exports:**
Foreign Trade. (NX_a)

$$C_a + I_a + G_a + NX_a = GDP$$

GDP on the income side

① Factor Incomes:
- Wages and Salaries
- Interest
- Business Profits

② Non-Factor Payments
- Indirect taxes (Positive Taxes)
- Subsidies (net of subsidies)
- Depreciation

Factor Incomes + (Indirect Taxes − Subsidies) + Depreciation

= GDP

$$\boxed{\text{GDP Deflator}} = \frac{\text{GDP at Current prices}}{\text{GDP at base-period prices}} \times 100 = \frac{\text{Nominal GDP}}{\text{Real GDP}} \times 100$$

* CPI (Consumer Price Index) measures the avg change of price of goods

* GDP Deflator measure avg change of price of goods <u>produced in Canada</u>

Not Everything Gets included in GDP Calculation

- **Illegal activity**
  ie: Prostitution, drugs, illegal gambling

- **Environmental costs**
  ie: oil spills

- **Underground Economy**
  ie: A plumber fixes your sink and gets paid in cash and doesn't report the transaction